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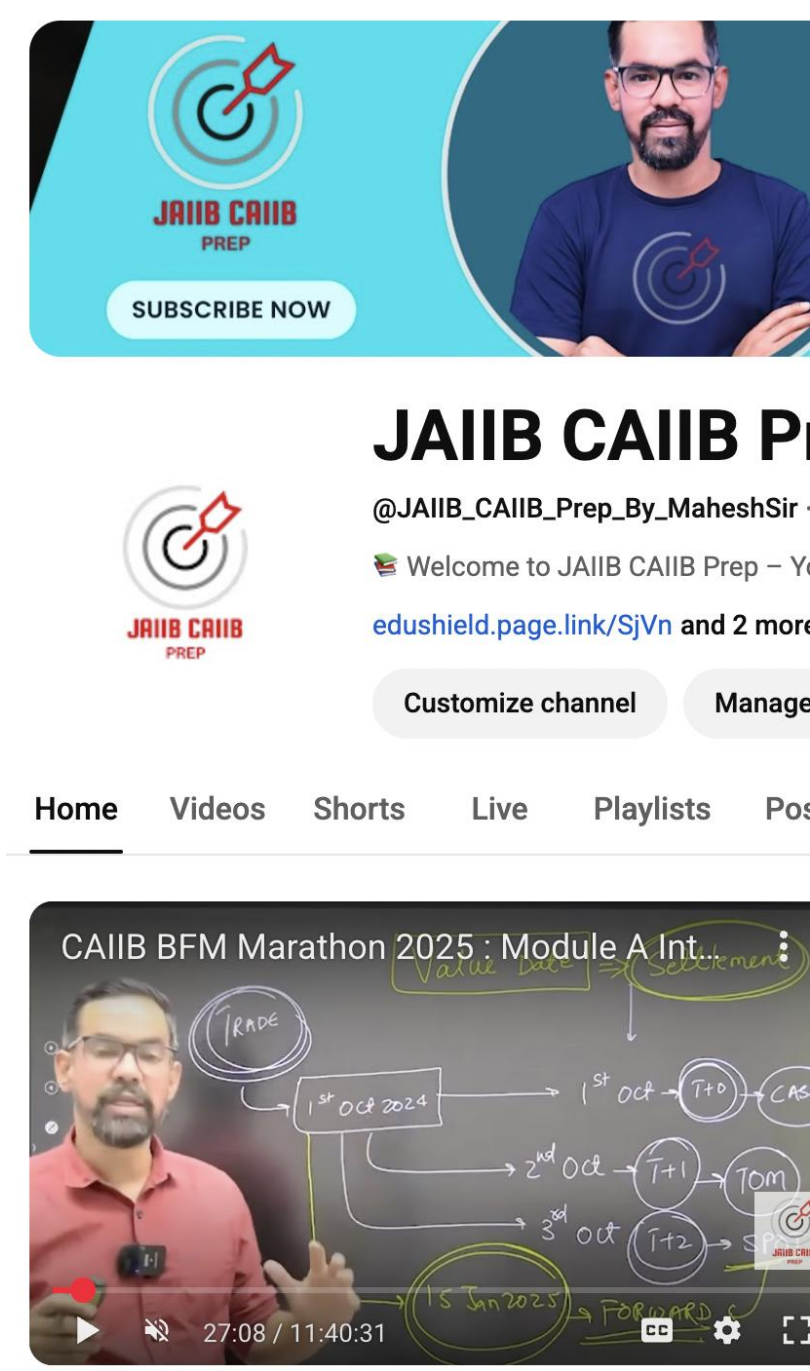
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INTERNATIONAL BANKING



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- Unit 1: Exchange Rates and Forex Business**
- Unit 2: Liberalised Remittance Scheme (LRS) and other Remittance Facilities for Residents**
- Unit 3: Correspondent Banking and NRI Accounts**
- Unit 4: Documentary Letters of Credit**
- Unit 5: Facilities for Exporters and Importers**
- Unit 6: External Commercial Borrowings and Foreign Investments in India**
- Unit 7: Risks in Foreign Trade – Role of ECGC**
- Unit 8: Role of EXIM Bank, Reserve Bank of India, Exchange-Control in India – FEMA and FEDAI and Others**
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- Unit 10: Technology in International Banking**





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UNIT 1

Exchange Rates and Forex Business

STRUCTURE

- 1.0 Objectives
- 1.1 Introduction
- 1.2 Foreign Exchange – Definition and Markets
 - Check Your Progress (A)
- 1.3 Factors Determining Exchange Rates
- 1.4 Exchange Rate Mechanism
 - Check Your Progress (B)
- 1.5 Foreign Exchange Dealing Room Operations
- 1.6 Derivative Products
- 1.7 RBI / FEDAI Guidelines
 - Check Your Progress (C)
- 1.8 Foreign Exchange Arithmetic – Concepts and Examples



Foreign Exchange

- ✓ Foreign Exchange is the trading of one currency for another.
 - ✓ For example, one can **swap the U.S. dollar for the Indian Rupees.**
 - ✓ Foreign exchange transactions can take place on the foreign exchange market, also known as the Forex Market.
-
- International Trade
 - Globalization
 - Cross border movement of manpower & capital
 - Travel & tourism
 - Investment Opportunities

1.2 FOREIGN EXCHANGE – DEFINITION AND MARKETS

Foreign Exchange Management Act (FEMA), 1999, (Section 2) defines foreign exchange as:

“Foreign Exchange means foreign currency, and includes:

- (i) All deposits, credits and balances payable in foreign currency, and any drafts, traveller’s cheques, letters of credit and bills of exchange, expressed or drawn in Indian currency and payable in any foreign currency,
- (ii) Any instrument payable at the option of the drawee or holder, thereof or any other party thereto, either in Indian currency or in foreign currency, or partly in one and partly in the other.” Thus, broadly speaking, foreign exchange is all claims payable abroad, whether consisting of funds held in foreign currency with banks abroad or bills and cheques payable abroad.

FOREX Market Participants

The world currency market is a very large market, with a large number of participants. Major participants of FOREX markets are:

- *Central Banks* – managing their forex reserves and using the foreign currency markets to reduce the volatility and, thereby, smoothen out the value of their home currency.
- *Commercial Banks* – offering exchange of currencies to their big and retail clients and hedging and investing their own assets and liabilities, as also on behalf of their clients, and also speculating and taking views on the exchange rate movements in the markets.
- *Investment Funds/Banks* – moving funds from one country to another using exchange markets as a vehicle for investments as also hedging their investments in various countries/currencies.
- *FOREX Brokers* – acting as middlemen between the other participants.
- *Corporations* – moving funds between different countries and currencies for investment or trade transactions or even speculation in the foreign currency markets.
- *Individuals* – ordinary and high net worth individuals using forex markets for their investment, trade, personal, and travel and tourism needs.

Thus, the characteristics of foreign exchange market can be listed as under:

- a 24-hour market
- an over-the-counter market as well exchange driven market
- a global market with no barriers/no specific location
- a market that supports large capital and trade flows
- highly liquid market
- high fluctuations in currency rates (every few seconds)

Factors Determining Exchange Rates



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I. Fundamental Reasons

II. Technical Reasons

III. Speculation



Factors Determining Exchange Rates

Fundamental Reasons:

- **Balance of Payment** – surplus leads to stronger currency.
- **Economic Growth Rates** –High/Low growth rate.
- **Fiscal / Monetary Policy**- deficit financing leads to depreciation of currency.
- **Interest Rates** –currency with higher interest will appreciate in the short term.
- **Political Issues** –Political stability leads to stable rates

Factors Determining Exchange Rates

Technical Reasons

- ✓ **Government Control** can lead to unrealistic value.
- ✓ **Free flow of Capital** from lower interest rate to higher interest rates.

Speculation – higher the speculation higher the volatility in rates

Value Date

In Forex trading, the value date is regarded as the delivery date on which **counterparties to a transaction agree to settle their respective obligations** by making payments and transferring ownership.

Value Date Concept

Date of Deal	Value Date	Type of TXN
15.4.2025	15.4.2025	Cash/Ready
15.4.2025	16.4.2025	TOM
15.4.2025	17.4.2025	Spot
15.4.2025	Any day after 17.4.2025	Forward

Ready or Cash

Settlement of funds takes place on the same day (date of deal, say 1st Nov 2021), e.g., Bank A bought USD 1,000,000 against INR from Bank B @ 74.9500 Value cash, i.e. 1st Nov 2021.

This means that the delivery of USD 1,000,000 by Bank B and the settlement of INR 7,49,50,000 by Bank A takes place on the date of the transaction i.e. 1st Nov 2021. This is known as Ready / Cash deal.

Tom

Settlement of funds takes place on the next working day of the date of deal, e.g., say 1st Nov 2021), e.g., Bank A bought USD 1,000,000 against INR from Bank B @ 74.9600 Value Tom i.e. 2nd Nov 2021.

This means that the delivery of USD 1,000,000 by Bank B and the settlement of INR 7,49,60,000 by Bank A takes place on the next working day, i.e. 2nd Nov 2021. This is known as a Tom deal. If the settlement date of TOM deal, i.e. 2nd Nov 2021 is not a working day, settlement date would be 3rd November 2021 provided it is a working day for the markets where currency is to be settled). Intervening Saturdays and Sundays will also postpone the settlement date to next working day.

Spot

Settlement of funds takes place on the second working day following the date of contract/deal, e.g., say 1st Nov 2021, e.g., Bank A, Mumbai bought USD 1,155,000 against EUR from Bank B, Frankfurt @ EUR/USD 1.1550 Value Spot i.e. 3rd Nov 2021.

This means that the delivery of USD 1,155,000 by Bank B, Frankfurt and the settlement of EUR 1,000,000 by Bank A takes place on the spot date i.e. on the second working day following the date of the deal i.e. 3rd Nov 2021. This is known as a Spot deal. If the date of Spot deal is 1st November 2021, settlement date will be 3rd November 2021, presuming both markets in Mumbai and Frankfurt are working on 1st, 2nd and 3rd November 2021. If not, it will be the next working day in both the countries. Intervening Saturdays and Sundays will also postpone the settlement date to next working day.

Forward

Delivery of funds takes place on any day after the Spot date, e.g., if the date of forward deal is 1st November 2021 for value settlement date 30 November 2021, it is a forward deal.

Settlement of funds takes place on 30th November 2021.

E.g., Bank A bought USD 1,000,000 against INR from Bank B @ 75.3600 Value 30th November 2021

This means that the delivery of USD 1,000,000 by Bank B and the settlement of INR 7,53,60,000 by Bank A takes place on 30th November 2021. This is known as a forward deal. While entering into forward deals (whether with clients or with banks in the Inter-bank markets), banks need to ensure that the settlement date of the forward deal is a working day and not a Saturday or a Sunday.

Direct and Indirect Quote

Direct Quote: The quote is direct when the price of one unit of foreign currency is expressed in terms of the domestic currency.

Indirect Quote: The quote is indirect when the price of one unit of domestic currency is expressed in terms of Foreign currency.

Cross Rate

If a person wants to remit Euros from India, and as a banker, and for argument sake, rupees/ Euros are not normally quoted and therefore, what we have to do is first buy dollars against the rupees and the same dollars will be disposed off overseas to acquire the Euros.

If a rate in Mumbai market are US 1 Dollar- Rs 78.18 and rates in London market are US 1 Dollar=Euros 0.83 we will get US 1 dollar for Rs 78.18 and for one US dollar we will get Euro 0.83, thus we can form a sort of chain rule as under;

How many Rs.= 1 Euro

If 0.83 Euro= US 1 dollar

Therefore, 1 Euro= Rs. $78.18/0.83$

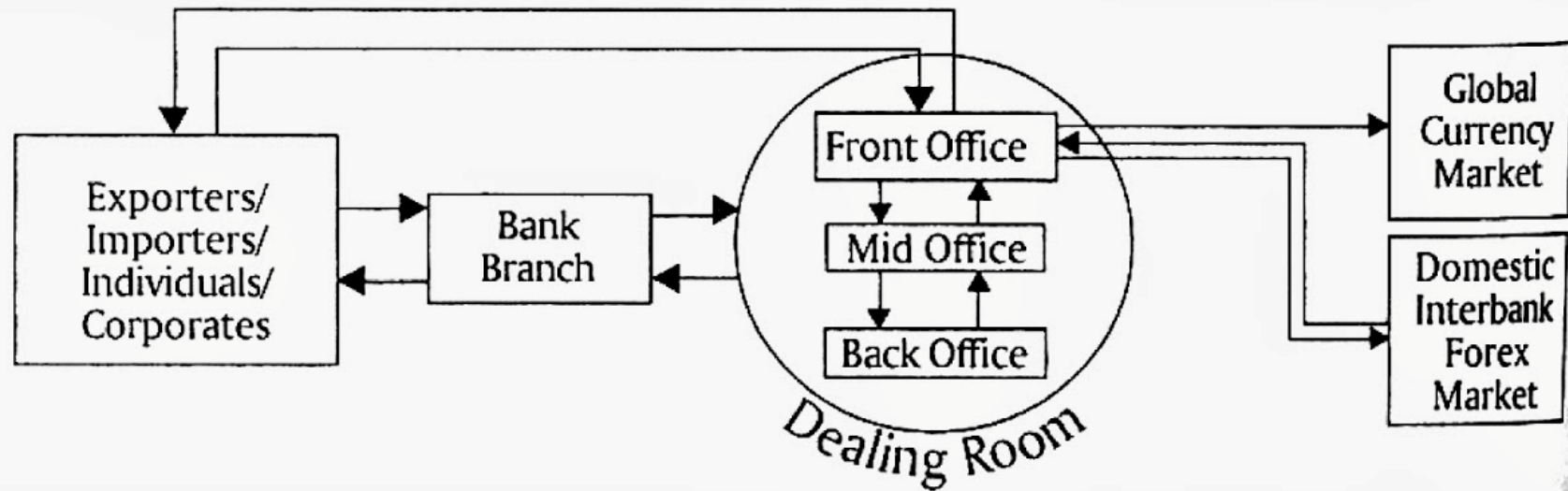
Or 1 Euro= Rs. 94.19

Bid and Offer Rates

The buying rates and selling rates are also referred to as **bid and offer rates**. In a USD/INR quote, of 68.10/11, the quoting bank is bidding for USD at 68.10 and is offering to sell the USD at 68.11. On the other hand, in a GBP/USD rate 1.2100/10, the quoting bank is willing to buy GBP at 1.2100 and willing to sell at 1.2110

Foreign Exchange Dealing Room

Figure 1: Foreign Currency Dealing Room Setup



FEDAI advises the valuation rates based on ongoing market rates on month-end dates, to enable the authorized dealers to revalue their foreign currency positions.

The following table summarizes the role of the Front Office, the Mid Office and the Back Office of a Bank's Foreign Exchange Operations:

<i>Front Office</i>	<i>Mid Office</i>	<i>Back Office</i>
Fund Management Nostro Accounts	Market Risk	Confirmation of deals
Foreign Exchange Advisory Management	Liquidity Risk	Settlement of deals
ALM & Maturity Mismatches	Country Risk	Accounting of deals
Dealing in the Inter-Bank Market	ALCO Committee	Reconciliation
Trading in the Inter-Bank Market	Reporting to the Top Management	Audit facilitation & reporting
Compliance	Compliance	Compliance

Foreign Exchange Dealing Room

Deal process – The deal itself should be as standard as possible and must follow established deal procedures.

The deal procedures should also outline how treasury should select the appropriate investment instruments

Authorize transactions – Once the appropriate instrument has been identified, an outline transaction itself should be authorized. Individual treasury team members will have their own deal limits, which may vary according to instrument type.

Properly documented prior approval of counter-parties is very essential and this can save the institution and the dealer.

Confirm transaction – Once the deal ticket has been produced, it should be passed to the back office for confirmation.

There should be a clear segregation of duties. This means no one party to the deal agreement (dealer or anyone who authorized the deal) should be involved in confirmations.

Settlement instructions – After confirmation, the deal should be prepared for settlement.

Detailed settlement instructions should be part of the any mandate or other contract.

Reconciliation – Once the transaction has been settled, the back office team must reconcile all the relevant documentation for accounting and audit purposes.

Backup systems – The dealing procedures will include reference to any back up processes in the event of failure in the preferred systems. These must be reflected in the agreement with counter-parties.

RBI/FEDAI Guidelines

The Reserve BANK of India, being the central bank of the country and the custodian of nation's foreign exchange reserves, has prescribed guidelines for authorized dealers, permitted by it, **to deal in foreign exchange and handle foreign currency transactions.**

FEMA 1999, also prescribes rules for persons, Corporates, etc., in handling foreign currencies, as also transactions denominated therein.

The Reserve Bank of India issues Authorized Dealers' (AD) licenses to banks and all-India financial institutions to undertake foreign exchange transactions in India. At present there are over 90 ADs, which include all public sector banks, foreign and a large number of private banks, a few all-India financial institutions and a few Scheduled cooperative banks.

RBI/FEDAI Guidelines

The RBI also issues Money Changer licenses to a large number of established firms, companies, hotel, shops, etc., to deal in foreign currency notes, coins and traveller's cheques, to facilitate encashment foreign currency for foreign tourists. Entities authorized to buy and sell foreign currency notes, coins and traveller's cheques are called Full Fledged Money Changers (FFMCs) while those authorized only to buy are called Restricted Money Changers (RMCs).

Categorization of Authorized Dealers

In the year 2006, the categorization of dealers authorized to deal in foreign exchange has been changed by the Reserve Bank of India.

- **Authorized Dealer – Category I:** They can handle all current and capital account transactions according to RBI directions issued from time-to-time. Eg., Commercial banks, State and Urban Cooperative Banks
- **Authorized Dealer – Category II:** Entities that can deal in transaction of foreign exchange which are of non-trade nature. Eg., Upgraded FFMCs, Other cooperative banks, Regional Rural Banks.
- **Authorized Dealer – Category III:** Institutions that can deal with forex transactions which are incidental to financing of international trade related activities undertaken by these institutions, eg., Exim Bank, SIDBI.
- **Full Fledged Money Changer:** Purchase of foreign exchange and sale for private and business visits abroad. Eg., Other FFMCs, Dept of Post.

Foreign Exchange Dealers Association of India, (FEDAI)

On the other hand, is a non-profit making body, formed in 1958 with the approval of Reserve Bank of India, consisting of Authorized dealers as members. FEDAI prescribes guidelines and rules for market operations, merchant rates, quotations, delivery dates, holidays, interest on defaults, etc. In terms of RBI directives, all authorized dealers are members of FEDAI and it is mandatory for them to follow the guidelines/directives issued by FEDAI.

- Option period can be specified by the customer, in case of forward contracts, but in any case, the delivery period under the contract shall not exceed beyond one month. All such contracts must state the start and end dates.
- Cancellation of forward contracts - All contracts, which have matured and have not been picked up, shall be automatically cancelled on the THIRD working day, after the maturity date.
- In the event of delay in payment of rupee settlement funds, interest for delayed period at 2% above the NSE MIBOR ruling on each day shall be paid.
- FEDAI also prescribes code of conduct for FOREX dealers, as also guidelines with regard to dealings with FOREX brokers.



Derivatives

- Future
- Forward
- Options
- Swaps

Derivatives

The term 'Derivative' stands for a contract whose price is derived from or is dependent upon an underlying asset.

The underlying asset could be a financial asset such as currency, stock and market index, an interest-bearing security or a physical commodity.

FUTURE

- A futures contract is an agreement between two parties to buy or sell an asset at a certain time in future at a certain price.
- These are basically exchange traded, standardized contracts.
- The exchange stands guarantee to all transactions and counterparty risk is largely eliminated.



Forwards

- These are financial contracts that obligate the contracts' **buyers to purchase an asset at a pre-agreed price** on a specified future date.
- However, forwards are more flexible contracts because the parties can customize the underlying commodity as well as the quantity of the commodity and the date of the transaction.



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OPTIONS

Options give the buyer (holder) a right but not an obligation to buy or sell an asset in future.

Options are of two types - Calls and Puts.

SWAPS

Swaps are derivative contracts that are traded **over-the-counter** primarily between financial institutions or businesses.

Since they are traded over-the-counter, the terms of the swap contract are **negotiated and customised to the needs** of both parties.

Interest rate swaps

The idea behind an interest rate swap is to switch the cash flows from a fixed interest rate to a floating interest rate.

In such a swap, Party A agrees to pay a fixed rate of interest to Party B on a notional principal for a specified period and on predetermined intervals.

Currency swaps

In a currency swap, both parties exchange principal and interest payments on debt that is denominated in different currencies agreed by the parties.

Currency swaps can take place between different countries.

UNIT 2

Liberalised Remittance Scheme (LRS) and Other Remittance Facilities for Residents

STRUCTURE

- 2.0 Objectives
- 2.1 Introduction
- 2.2 Capital Account Transactions and Current Account Transactions
- 2.3 Key Sections under FEMA vis-à-vis Liberalized Remittance Scheme
- 2.4 Permissible/Non-permissible Remittances under LRS
- 2.5 Operational Guidelines
- 2.6 Remittances under LRS for Current Account Transactions
- 2.7 Tax Collected at Source (TCS)
- 2.8 LRS vis-à-vis Capital Account Transactions
- 2.9 Reporting Requirements under LRS



Liberalised Remittances Scheme

Liberalised Remittance Scheme is a foreign exchange policy initiative introduced by the Reserve Bank of India in 2004. It intended to simplify and streamline the process of remitting funds outside India.

Under the Liberalised Remittance Scheme, all resident individuals, including minors, are allowed to freely remit up to USD 2,50,000 per financial year (April – March) for any permissible current or capital account transaction or a combination of both.

The Scheme was introduced on February 4, 2004, with a limit of USD 25,000.

Individuals can avail of foreign exchange facility for the following purposes within the LRS limit of USD 2,50,000 on financial year basis:

- **Private visits to any country (except Nepal and Bhutan)**
- **Gift or donation**
- **Going abroad for employment**
- **Emigration**
- **Maintenance of close relatives abroad**
- **Travel for business, or attending a conference or specialised training**
- **Expenses in connection with medical treatment abroad**
- **Studies abroad**



Capital Account Transactions

As per sec 2(e) of the FEMA Act 1999, Capital Account means a transaction which alters the assets, liabilities including contingent liabilities, outside of India or assets & liabilities in India of a person resident outside India.

Current Account Transactions

As per sec 2(j) of the FEMA Act 1999, Current Account means a transaction other than capital account transaction and include payments connected to trade, travel, medical or family maintenance.

Non-Permissible Remittances under LRS



Non-Permissible Remittances under LRS

- ✓ Remittance for any purpose specifically prohibited under Schedule-I (like purchase of lottery tickets/sweep stakes, proscribed magazines, etc.) or any item restricted under Schedule II of Foreign Exchange Management (Current Account Transactions) Rules, 2000.
- ✓ Remittance from India for margins or margin calls to overseas exchanges / overseas counterparty.
- ✓ Remittances for purchase of FCCBs issued by Indian companies in the overseas secondary market.
- ✓ Remittance for trading in foreign exchange abroad.
- ✓ Capital account remittances, directly or indirectly, to countries identified by the Financial Action Task Force (FATF) as “non- cooperative countries and territories”, from time to time.
- ✓ Remittances directly or indirectly to those individuals and entities identified as posing significant risk of committing acts of terrorism as advised separately by the Reserve Bank to the banks.



Schedule II – remittances permissible subject to approval of the respective Government Departments/Ministries

Remittances towards Cultural tours – approval from Department of Education and Culture - Ministry of Human Resources Development.

Advertisements in Foreign Print Media by State Governments/PSU Undertakings – Ministry of Finance.

Remittances towards Freights of Vessels chartered by PSUs – Ministry of Surface Transport.

Payment of Imports through Ocean Transport on CIF basis by Government dept/PSUs – Ministry of Surface Transport.

Remittances of hiring charges of transponders by TV Channels, Internet Service Providers, etc. – Ministry of Information & Broadcasting, Ministry of Information Technology.

Remittance of prize money, sponsorship of sports activities abroad by a person other than International/National/State level sports bodies and where the amount involved exceeds USD100,000 - Department of Youth Affairs & Sports, Ministry of Human Resources Development.

Schedule III - Remittances for resident individuals – permissible under the delegated powers of the Authorized Dealers

- Private visits to any country (other than Nepal & Bhutan)
 - Gift or donation
 - Going abroad for employment
 - Emigration
 - Maintenance of close relatives abroad
 - Travel for business by resident individuals - attending international conferences, specialized training, etc.
 - Accompanying as attendant to a patient going abroad for medical treatment
-
- Expenses in connection with medical treatment abroad
 - Studies abroad
 - Purchase of Objects of Art subject to Foreign Trade Policy
 - Others viz., remittances towards health insurance, etc.

Operational Guidelines



FEMA
Exchange Management



Operational Guidelines

- **The Foreign Exchange Management Act states that LRS is available to all resident individuals, including minors and students.**
- **The eligible citizens must have an Indian bank account, a valid Permanent Account Number (PAN), and a passport.**
- **They can use the remitted amount for educational, business, personal, or other purposes.**

Here are some of the steps to do the same:

- Choose a bank branch that is an authorised dealer through which all payments will be made.
- Make sure to carry your PAN card.
- Follow the Anti-Money Laundering (AML) and KYC (Know Your Customer) guidelines.
- Fill out Form A2 to purchase foreign currency.
- Last but not least, banks are prohibited from providing any credit facilities to residents under LRS.

FORM A2

(To be completed by the applicant)

(For payments other than imports and remittances covering intermediary trade)

AD Code No. _____

Form No. _____
(To be filled in by the Authorised Dealer)

Currency Amount Equivalent to Rs.

(To be completed by the Authorised Dealer)

Application for Remittance Abroad

I/We _____

(Name of applicant remitter)

PAN No. ²⁰

Address

authorize

(Name of AD branch)

To debit my Savings Bank/ Current/ RFC/ EEFC A/c. No. _____
together with their charges and

* a) Issue a draft : Beneficiary's Name _____
Address _____

* b) Effect the foreign exchange remittance directly –

1) Beneficiary's Name

2) Name and address of the bank

3) Account No. _____

* c) Issue travelers cheques for

* d) Issue foreign currency notes for _____
Amount (specify currency)

* (Strike out whichever is not applicable) for the purpose/s indicated below

Sr. No.	Whether under LRS (Yes/No)	Purpose Code	Description
		As per the Annex	

(Remitter should put a tick (✓) against an appropriate purpose code. In case of doubt/difficulty, the AD bank should be consulted).

Declaration

(Under FEMA 1999)

1. # I,(Name), hereby declare that the total amount of foreign exchange purchased from or remitted through, all sources in India during the financial year including this application is within the overall limit of the Liberalised Remittance Scheme prescribed by the Reserve Bank of India and certify that the source of funds for making the said remittance belongs to me and the foreign exchange will not be used for prohibited purposes.

Details of the remittances made/transactions effected under the Liberalised Remittance Scheme in the current financial year (April- March)

Sl. No	Date	Amount	Name and address of AD branch/FFMC through which the transaction has been effected

2. # The total amount of foreign exchange purchased from or remitted through, all sources in India during this calendar year including this application is within USD _____ (USD _____) the annual limit prescribed by Reserve Bank of India for the said purpose.

3. # Foreign exchange purchased from you is for the purpose indicated above.

(Strike out whichever is not applicable)

Certificate by the Authorised Dealer

Signature of the applic

(Name)

Date:

This is to certify that the remittance is not being made by/ to ineligible entities and that the remittance is in conformity with the instructions issued by the Reserve Bank from time to time under the Scheme.

Name and designation of the authorised official:
Stamp and seal

Signature:

Date:

Place:

2.7 TAX COLLECTED AT SOURCE (TCS)

The Finance Act, 2020 has a new insertion in the Income Tax Act on Tax Collected at Source (TCS) at 5% on foreign remittance LRS, with effect from 1st October 2020. The threshold for TCS is Rs 7 lakhs for an entire FY and TCS is applicable only on the remittance amount that exceeds the annual cap of Rs 7 lakhs.

- In case of non-availability of PAN/Aadhar – TCS is at 10 %.
- TCS is also applicable for transactions involving transfer from domestic rupee account to the NRO account under LRS.
- Remittances under LRS, towards studies abroad where the source of funds is educational loan, 0.5 % will be the TCS and applicable over the threshold limit of Rs. 7 lakhs.

Given below are some examples for levy and calculation of TCS, under LRS:

Customer A	Makes a remittance of Rs 6,50,000 Date: Apr 04, 2020	No tax will be collected
	Makes a remittance of Rs 9,50,000 Date: May 05, 2020	5% tax will be collected on Rs 9,00,000 (Rs 6,50,000+9,50,000–7,00,000)
	Makes a remittance of Rs 40,000 Date: Dec 10, 2020	5% tax will be collected on incremental Rs 40,000 (as the remitter has crossed Rs 7 lakh earlier)



Capital account transactions

Capital Account Transactions under LRS

Remittances to International Financial Services Centres (IFSCs)

With a view to deepen the financial markets in the International Financial Service Centres (IFSCs), an opportunity is provided to the resident individuals to diversify their portfolio wherein residents are permitted to make remittances under LRS to IFSCs, set up in India under the Special Economic Zone guidelines, subject to the overall limit permissible under the extant guidelines.

The following provisions need to be adhered to by the resident individuals:

- The remittances shall be made only for making investments in IFSCs in securities, other than those issued by entities /companies resident (outside IFSC) in India.
- Opening of a non-interest-bearing Foreign Currency account (FCA) in IFSCs permitted for making the above permissible investments under the LRS.
- Any funds lying idle in the account for a period up to 15 days from the date of credit into the account shall be immediately repatriated to domestic INR account of the investor in India.
- No domestic transactions are permissible to be settled with other residents through these FCAs held in IFSC.
- AD Banks allowing such remittances on behalf of resident individuals shall comply with all other terms and conditions including reporting requirements under the Scheme.

Remittances of capital account nature can be made, under LRS, for the following:

Opening of foreign currency accounts abroad.

Purchase of Immovable Property abroad. Making Investments abroad in the form of:

- Acquisition & holding of shares both in Listed/Unlisted Cos
- Acquisition of debt instruments
- Acquisition of qualification shares of an Overseas Co., for holding the post of Director,
- Acquisition of shares of a foreign company towards professional services rendered or in lieu of Director's remuneration.
- Units of Mutual Funds, Venture Capital Funds, Unrated debt securities, Promissory Notes, etc.,
- Setting up of JVs/WOS outside India where the JV/WOS is engaged in a bonafide business activity.

Direct Investment outside India

- Investments can be either in listed companies or unlisted companies or a combination of both subject to a maximum overall limit for all purposes put together at USD 250,000/FY.
- No credit facilities to be extended to facilitate capital account transactions.
- Opening of Bank account abroad permitted for facilitating and putting through the investment transactions.
- Remittances can be consolidated in respect of family members subject to individual family members complying with the terms and conditions and all the family members are co-owners, co-partners of the Overseas Investments.



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Documentation for ODI

- Form A2 FEMA Declaration – Online submission of Form A2 allowed.
- Simplified documentation for individuals for amounts up to USD 25,000, subject to the satisfaction of the AD Bank
- Declaration of source of funds
- PAN
- Form ODI (in respect of investment in WOS/JV abroad)
- **Part I of Form ODI to be submitted within 30 days of making the first remittance.**
- Designated AD Bank to report to RBI in Form ODI (Part I & II) within 30 days from the date of making the remittance by the resident individual.
- Resident individual should submit share certificates/any other document as evidence, within 6 months from the date of making the remittance.
- Post investment changes/alterations in share holding pattern to be reported to the Designated AD within 30 days from date of such changes.



FEMA

Foreign Exchange Management Act

Reporting Requirements Under LRS

Reporting Requirements Under LRS

Earlier reporting of LRS by the AD Banks was based on the declarations made by the resident individuals and no independent reliable sources for verification were available.

However, with effect from April 2018, a daily reporting system by AD Banks of transactions undertaken by the resident individuals has been put in place by RBI.

Reporting Requirements Under LRS

- ADs are required to upload daily transaction-wise information undertaken by them under the LRS.
- The reporting of daily transactions are to be reported on the XBRL platform by close of business of the next working day.
- NIL report to be uploaded if there are no transactions on a particular business day.
- The data on such daily reporting is made available to all the AD Banks.

UNIT 3

Correspondent Banking and NRI Accounts



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STRUCTURE

- 3.0 Objectives
- 3.1 Introduction
- 3.2 Correspondent Banking – Accounts and Other Services
- 3.3 Nostro Vostro and Loro Accounts
- 3.4 Electronic Modes of Transmission/Payment Gateways – SWIFT, CHIPS, CHAPS, RTGS, etc.
- 3.5 NRI Banking
- 3.6 NRI Accounts – Rupee and Foreign Currency Accounts
- 3.7 Facilities to NRIs
- 3.8 Advances to Non-Residents against Non-Resident Deposits
- 3.9 Housing Loans to Non-Resident Indians

Correspondent Banking

A correspondent bank is a financial institution that provides **services to another one—usually in another country.**

It acts as an intermediary or agent, facilitating **wire transfers, conducting business transactions, accepting deposits, and gathering documents** on behalf of another bank.

The accounts held between correspondent banks and the banks to which they are providing services are referred to as nostro and vostro accounts.

Domestic banks can serve their international clients and gain access to foreign financial markets by using correspondent banks, rather than setting up branches overseas.

Correspondent Banking

Services can include:

- Fund transfer
- Settlement
- Check clearing
- Wire transfers
- Currency exchange



Types of NRI Accounts

Nostro Account (Our money with you)

Vostro Account (Your money with us)

Loro Account (Their money)



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3.3 NOSTRO VOSTRO AND LORO ACCOUNTS

We have seen in the earlier part maintaining accounts with the correspondent banking is one of the major aspects of the relationship, even though it may not be a prerequisite. The account relationship facilitates handling of receipts and payments, collections and reimbursements, in the country and in the currency of the correspondent bank.

The foreign currency accounts maintained by a bank with another bank are classified as NOSTRO, VOSTRO and LORO accounts, depending upon the direction of the relationship.

NOSTRO Account: A Foreign Currency account maintained by a Bank in the Home Country with the Bank in the Host country. It means “Our account with You”. For example, SBI, Mumbai maintaining a USD account with CITI Bank, New York is a NOSTRO account in the books of SBI, Mumbai.

VOSTRO Account: A Non resident Bank maintaining an account in the Home Country in the currency of the Home country. It means “Your account with Us”. Say American Express Bank, New York, maintaining a Rupee Account with SBI, Mumbai, is a Vostro account in the books of SBI, Mumbai.

LORO account: It refers to accounts of other banks, i.e. “Their account with them”. For example, Citi Bank referring to Rupee account of American Express Bank maintained with SBI Mumbai, or some other bank referring to the USD account of SBI, Mumbai with Citi Bank, New York. LORO is an Italian word which means ‘Their’. Hence, Loro account represents a ‘Third Party Account’.

Mirror account: While a bank maintains NOSTRO account with a foreign bank, (mostly in foreign currency), it has to keep a track of the account in its own books, too. This is a reflection or a shadow of the NOSTRO account. The entries in the mirror account are used for reconciliation of entries in the NOSTRO account. The mirror account is maintained in two currencies, one of which is the foreign currency and the other one is the home currency.

Functions of Correspondent Banks

3.2.3 Other Services

These services would not normally require account relationship, and can be offered based upon the relationship and credit assessment by the correspondent bank.

- (i) Letter of Credit advising
- (ii) LC confirmation
- (iii) Arranging buyer's credit and supplier's credit for Importers in the Respondent Bank's country
- (iv) Bankers Acceptances
- (v) Issuances of guarantees – bid-bond, performance, etc.
- (vi) Foreign Exchange services, including derivative products
- (vii) Custodial services
- (viii) Trade referrals and credit reports on foreign parties
- (ix) Services related to investment of overnight surplus funds, short-term deposits, as also securities, etc.
- (x) Other fund raising services, like bonds, ADRs/GDRs, etc.
- (xi) Training and seminars on various topics/on latest developments

Electronic Mode of Payments Gateways

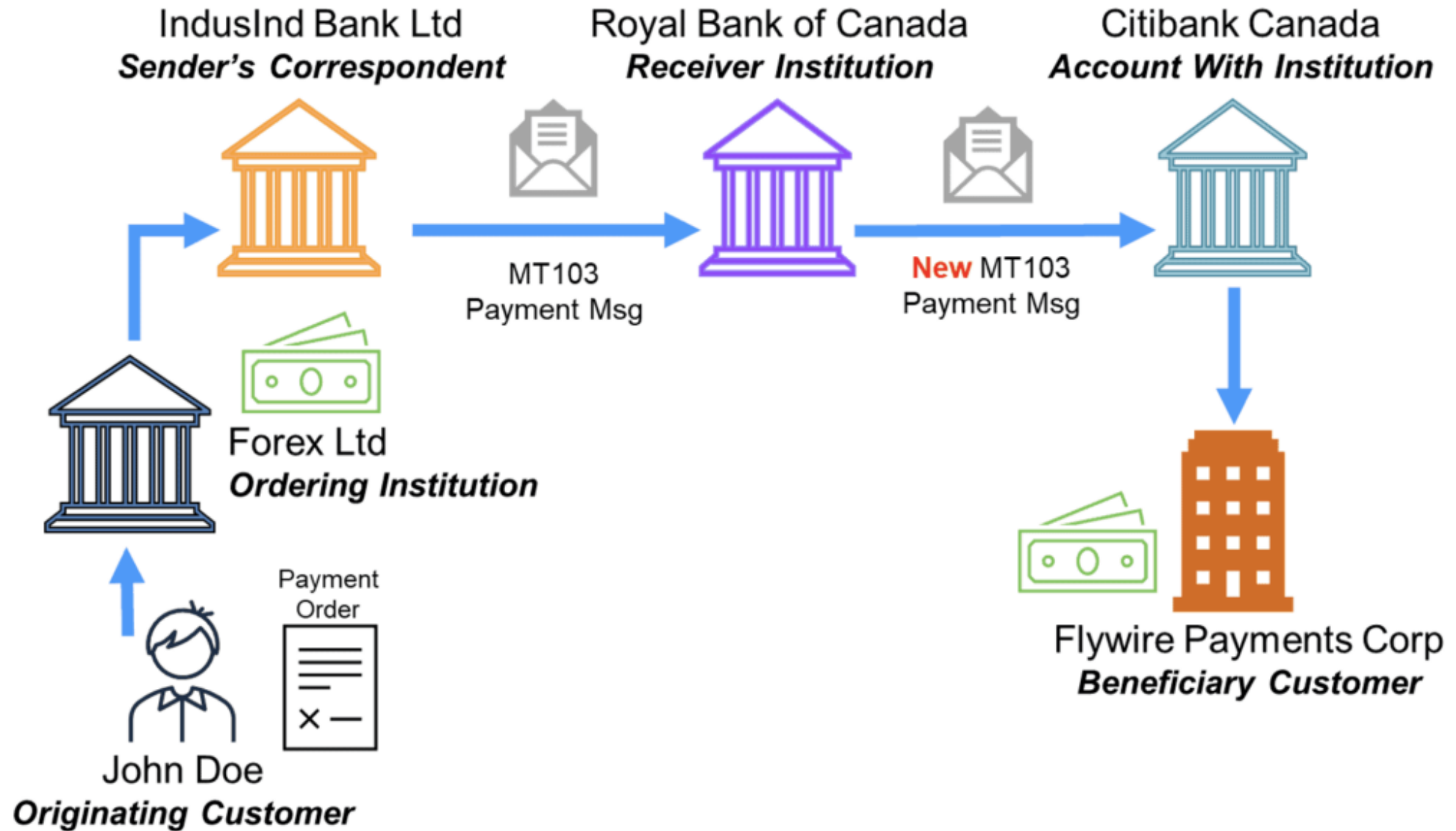
➤ **SWIFT Transfer**

➤ **CHIPS**

➤ **CHAPS**

➤ **Fedwire**





SWIFT Transfer

- ✓ Society for Worldwide Interbank Financial Telecommunications (SWIFT) is a member-owned cooperative that provides safe and secure financial transactions for its members.
- ✓ SWIFT is the fastest and most secured mode of transmission of financial messages between Banks and Institutions.
- ✓ Customers can send money from any part of the world through SWIFT. It is the most popular mode of money transfer in the world.
- ✓ To facilitate remittance through SWIFT, bank has correspondent banking relationship with all major banks in the world.
- ✓ SWIFT works by assigning each member institution a unique ID code (a BIC number) that identifies the bank name and the country, city, and branch.



SOUTH INDIAN BANK LTD., THE	SOININ55118	SOININ55	118	(THOPPUMPADY)	THOPPUMPADY	INDIA
SOUTH INDIAN BANK LTD., THE	SOININ55083	SOININ55	083	(THIRUPUR MAIN)	TIRUPPUR	INDIA
SOUTH INDIAN BANK LTD., THE	SOININ55338	SOININ55	338	(TIRUPPUR OVERSEAS BRANCH)	TIRUPPUR	INDIA
SOUTH INDIAN BANK LTD., THE	SOININ55087	SOININ55	087	(TRICHUR WEST)	TRICHUR	INDIA
SOUTH INDIAN BANK LTD., THE	SOININ55082	SOININ55	082		TRICHY	INDIA
SOUTH INDIAN BANK LTD., THE	SOININ55090	SOININ55	090	(TUTICORIN)	TUTICORIN	INDIA
SOUTH INDIAN BANK LTD., THE	SOININ55633	SOININ55	633		VASCO DA-GAMA	INDIA

SWIFT Transfer

- **First four characters:** the institute code (UNCR for UniCredit Banca)
- **Next two characters:** the country code (IT for the country Italy)
- **Next two characters:** the location/city code (MM for Milan)
- **Last three characters:** optional, but organizations use them to assign codes to individual branches.



SWIFT provides the following services over a secured network:

- Messaging solutions for Banking & Payments viz., Inter-Bank payments, Corporate Services, Cash Management & compliance thereby mitigating Operational and Compliance risks.
- Trade Finance messaging solutions whereby banks benefit from the efficiency and reliability of global standard messaging and electronic matching across the spectrum of trade and supply chain.
- Securities – messages, standards and solutions for secured execution of confirmations, clearing and settlements across the transaction chain.
- FX and Treasury – messages to facilitate foreign exchange and treasury messages including third party access to CLS and SWIFT Confirmation.

CHIPS Transfer

The Clearing House Interbank Payments System (CHIPS) is the primary clearing house **in the U.S.** for large banking transactions.

CHIPS works by netting debits and credits across transactions, providing both clearing and settlement services to its customer banks.

There are two steps to processing funds transfers: clearing and settlement. Clearing is the transfer and confirmation of information between the payer (sending financial institution) and payee (receiving financial institution).

Settlement is the actual transfer of funds between the payer's financial institution and the payee's financial institution. Settlement discharges the obligation of the payer financial institution to the payee financial institution with respect to the payment order.

CHAPS Transfer

CHAPS is one of the largest high-value payment systems in the world, providing efficient, settlement risk-free and irrevocable payments. There are over 30 direct participants and over five thousand financial institutions that make CHAPS payments through one of the direct participants.

Responsibility for the CHAPS system transferred to the Bank of England in November 2017.

- Financial institutions and some of the largest businesses use CHAPS to settle money market and foreign exchange transactions
- Corporates use CHAPS for high value and time-sensitive payments such as to suppliers or for payment of taxes
- Individuals may use CHAPS to buy high-value items such as a car or pay a deposit for a house

Fedwire Transfer

The Federal Reserve Banks provide the Fedwire Funds Service, a real-time gross settlement system that enables participants to initiate funds transfer that are immediate, final, and irrevocable once processed.

Depository institutions and certain other financial institutions that hold an account with a Federal Reserve Bank are eligible to participate in the Fedwire Funds Services.

Definition of NRI

The meaning of a Non Resident Indian needs to be understood both from the point of view of Income Tax and from the point of view of FEMA. Sec 6 of the Income Tax Act 1961 defines a Non Resident Indian based on the number of days a person stays outside India.



Resident

- If an individual is in India for at least 182 days in the preceding Financial Year (say, for example 2019-20)
- If an individual is in India for at least 365 days in the last 4 Financial Years (for example 2015-16, 2016-17, 2017-18, 2018-19) and at least 60 days in the preceding Financial Year 2019-20, is treated as a Resident.
- Individuals not satisfying the conditions (a) or (b) above will be treated as NRIs.

Deemed Resident (for the purposes of Income Tax)

- An NRI who is not a tax resident of any country and has more than Rs. 15 lacs income in India earned from Indian Sources.
- The status of deemed residency is applicable only for NRIs who hold Indian Citizenship and not applicable to PIOs.

Resident but Not Ordinarily Resident – RNOR

Should have **stayed outside India for 9 years** out of the last 10 preceding Financial Years

OR

Should have stayed in India for less than 730 days in the last 7 Financial Years

OR

PIO/Indian Citizen with more than Rs. 15 lacs income earned from Indian sources, stayed in India for 120 days or more in the previous FY plus 365 days or more in the preceding last 4 FYs

OR

Deemed resident with more than Rs. 15 lacs income earned from Indian sources.

As per the FEMA 1999, Non-Resident Indian is:

(a) A person resident outside India who is a citizen of India, i.e.

- Indian citizens who proceed abroad for employment or for carrying on any business or vocation or for any other purpose in circumstances indicating indefinite period of stay outside India.
- Indian citizens working abroad on assignments with Foreign governments, government agencies or International/ Multinational Agencies like United Nations Organizations (UN), International Monetary Fund (IMF), and World Bank, etc.
- Officials of Central and State Governments and Public Sector Undertaking deputed abroad on assignments with Foreign Govt. Agencies/Organizations or posted to their own offices including Indian Diplomatic Missions abroad.

(b) A Person of Indian Origin (PIO) is one who is a citizen of any other country (other than Bangladesh or Pakistan or such other country as may be specified by the Central Government), satisfying the following conditions:

- Who was a citizen of India by virtue of the Constitution of India or the Citizenship Act, 1955 (57 of 1955); or,
- Who belonged to a territory that became part of India after the 15th day of August, 1947; or,
- Who is a child or a grandchild or a great grandchild of a citizen of India or of a person referred to in clause (a) or (b); or,
- Who is a spouse of foreign origin of a citizen of India or spouse of foreign origin of a person referred to in clause (a) or (b) or (c).

Types of NRI Accounts

- Non-Resident External (NRE) Accounts
- Non- Resident Ordinary (NRO) Accounts
- Foreign Currency Non-Resident (FCNR) Accounts
- Special Non-Resident Rupee Account-SNRR account



Any person resident outside India who has a business interest in India may open a Special Non-resident Rupee Account (SNRR) with an authorized dealer to carry out genuine transactions in rupees that do not violate the provisions of the Act, rules, and regulations made thereunder.

Features of SNRR account:

- i) The balances in the SNRR account shall be eligible for repatriation
- ii) Transfers from any NRO account to the SNRR account are prohibited
- iii) All transactions in the SNRR account will be subject to payment of applicable taxes in India
- iv) SNRR account may be designated as a resident rupee account on the account holder becoming a resident
- v) Opening SNRR accounts by Pakistani and Bangladeshi nationals and entities incorporated in Pakistan and Bangladesh is subject to Reserve Bank permission.
- vi) The SNRR account cannot be held for more than 7 years. After 7 years from the date of account opening, no operations are permitted in the account.



Investments in Shares/Securities

Investments by NRIs have been broadly categorized into two segments:

- On Repatriation basis.
- On Non-repatriation basis,



Prohibited transactions for NRIs

The following transactions are prohibited for NRIs

- Purchase of Agricultural Property, Plantations and Farm Houses.
- Dealing in Real Estate Activities, commercial properties, etc.
- Trading in Transferable Development Rights (TDRs).
- Contributions towards government linked schemes viz., NSCs, etc.
- Intra-day trading in securities, short selling, etc.

UNIT 4

Documentary Letters of Credit



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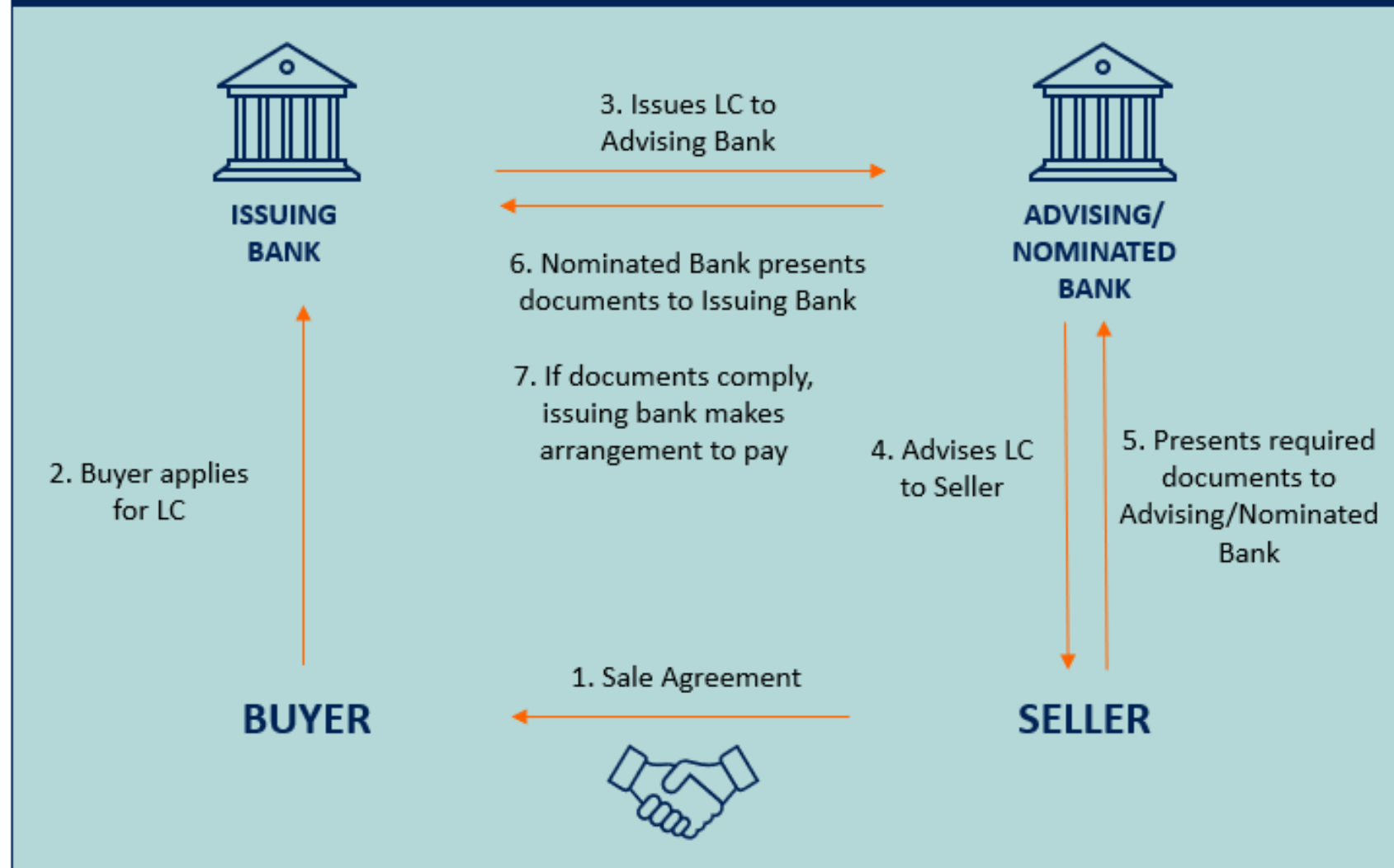
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STRUCTURE

- 4.0 Objectives
- 4.1 Introduction
- 4.2 Definition of Letter of Credit
- 4.3 Types of Letters of Credit
Check your Progress (A)
- 4.4 Operations of Letter of Credit
- 4.5 Uniform Customs and Practices for Documentary Credits (UCPDC)
- 4.6 Liabilities, Responsibilities and Rights of the Parties
Check your Progress (B)
- 4.7 Documents under LC – Scrutiny, Crystallisation, Follow-up for Bills under LC and Safeguards for Banks
- 4.8 Risks Relating to Letter of Credit Transactions
Check Your Progress (C)
- 4.9 Standby Letter of Credit (Similar to Guarantees)
- 4.10 Uniform Rules for Bank-to-Bank Reimbursements (URR-725)
- 4.11 International Standard Banking Practice – 745 (ISBP 745)
Check Your Progress (D)
- 4.12 International Commercial Terms – INCOTERMS 2020
- 4.13 Case Studies



LETTER OF CREDIT PROCESS

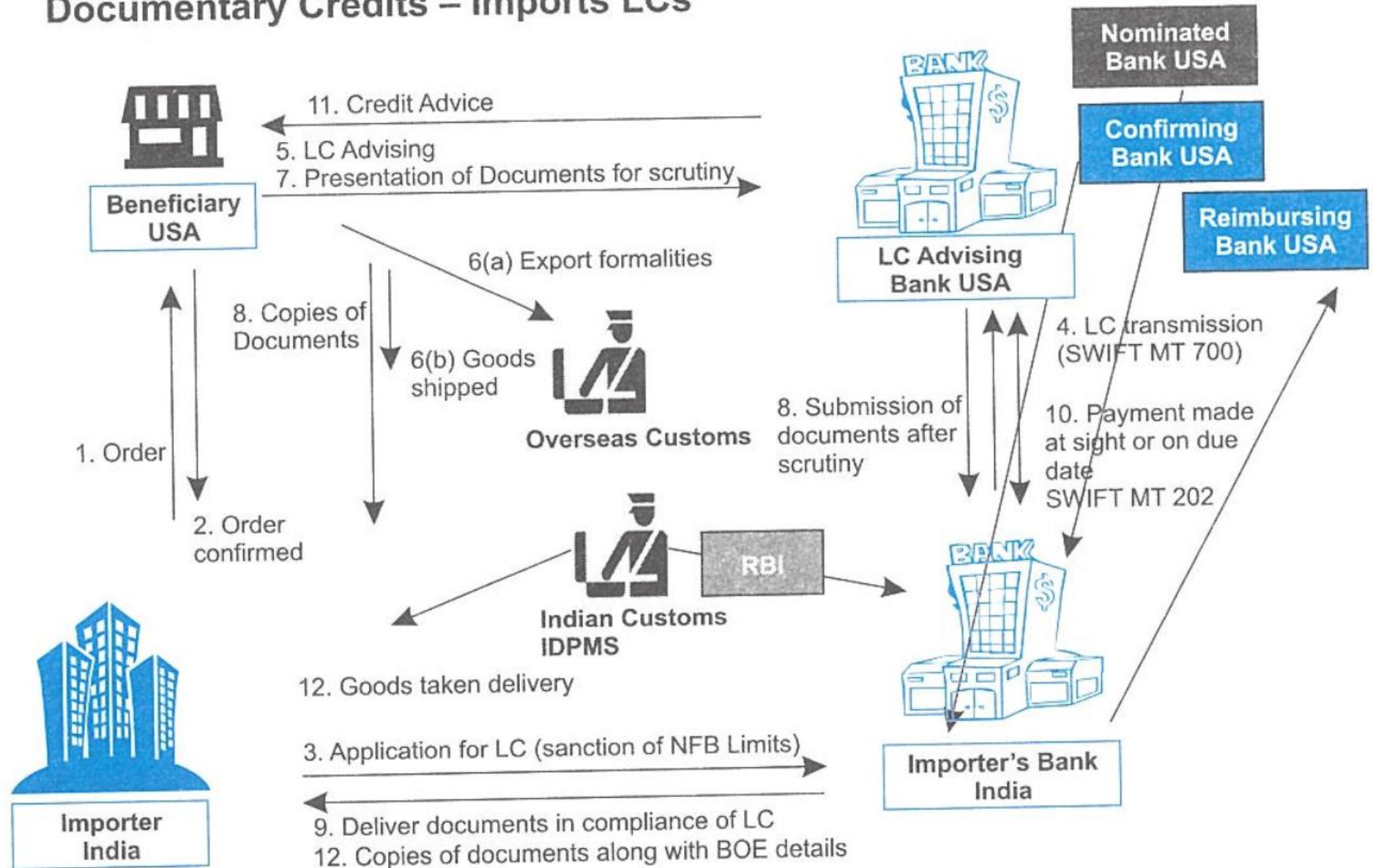


A Letter of Credit (LC) is a document that guarantees the buyer's payment to the sellers. It is issued by a bank and ensures timely and full payment to the seller. If the buyer is unable to make such a payment, the bank covers the full or the remaining amount on behalf of the buyer.

Thus, in an LC transaction, following parties are involved:

- (i) The buyer/importer or the applicant – **on whose behalf LC is opened.**
- (ii) The seller/exporter or the **beneficiary of the LC.**
- (iii) The opening bank (buyers bank), **who establishes/issues the LC.**
- (iv) The advising bank (bank in seller's / exporter's country), **who acts as an agent of the issuing bank and authenticates and advises the LC.**
- (v) The confirming bank, if any – **who undertakes to pay on behalf of the issuing bank.**

Documentary Credits – Imports LCs





ICC Uniform Customs
and Practice for

Documentary Credits 2007 REVISION



The Uniform Customs and Practice for Documentary Credits (“UCP”) 600 are international rules published by the International Chamber of Commerce (ICC) with the aim of standardising international banking practice in relation to LCs.

Many banks and lenders are subject to this regulation, which aims to standardise international trade, reduce the risks of trading goods and services, and govern trade. The first UCP was created in 1933 and has been revised by the ICC up to the point of the UCP 600.



Uniform Customs and Practice For Documentary Credits

Were first framed by the ICC (International Chamber of Commerce) in 1933. Since then these rules have been revised six times, viz., 1951, 1962, 1984, 1994 and 2007. UCP-600, which is effective from 1/7/2007, is the latest revision.



ICC Uniform Customs
and Practice for

Documentary Credits 2007 REVISION



International Chamber of Commerce
The world business organization

UCP 82 (1933)

The first document issued under the title “**Uniform Customs and Practice**” based on the draft document circulated in 1929 contained the following provisions:

Responsibility of the Bank to examine all documents and papers with care so as to ascertain that on their face, they appear to be in order.

The word ‘honor’ and the detailed requirements of transport and insurance documents were introduced.



ICC Uniform Customs
and Practice for

Documentary Credits 2007 REVISION



International Chamber of Commerce
The world business organization

UCP 82 (1933)

When a Documentary Credit requires presentation of other documents, without further definition, banks will accept such documents as tendered without any responsibility on their part.

The stipulation that when the expiry date of a documentary credit falls on a Sunday, or a legal holiday or a local holiday, the period of validity will be extended to the next following business day.

UCP 151 (1951)

This was the first revision of the UCP rules wherein the use of the terms “Applicant” instead of “Principal” was used and the methods of settlement – Payment, Acceptance, Negotiation and Purchase were introduced.

The very important concept that “in documentary credit operations, all the parties deal in documents and not in goods”, and that “Banks must determine compliance on the basis of documents alone”. was highlighted.

UCP 151 (1951)

Provision with regarding to “the issuing bank had “reasonable time” to examine the documents and the stipulation that the “description of the goods on the commercial invoice must correspond with the description in the credit” was also highlighted.

UCP 222 (1962)

The UK and the Commonwealth Banks adopted the UCPDC for the first time including the provision that the Documentary Credit is binding on all the parties.

A rule that “a credit is separate from the Sales or other contracts on which it may be based” and that the “confirming bank negotiates without recourse” were introduced.

The details of how to handle the documents of the second beneficiary if first beneficiary fails to substitute its own documents was introduced.

UCP 290 (1974)

Introduction of the term “**nomination**” and its use.

The addition of details regarding inconsistency between documents, a new article covering “Combined Transport”, “Assignment of Proceeds”, and the default period for presentation within 21 days after the date of issuance of the BL or other transport document.

UCP 400 (1983)

This revision resulted in restructuring of the entire text and brought out the **layout of the UCP as is prevalent today and some of the important provisions were:**

- The requirement that the advising bank is to take reasonable care to check the authenticity of Credit.
- Introduction of the term “Deferred Payment Undertaking” as a settlement means.,
- Separate article covering “Original documents” and “Bank-to-Bank Reimbursement”.
- Definition of “transshipment”.

UCP 500 (1993)

This version is the first UCP that many of the documentary credit practitioners across the globe have experienced and the revision consisted of many changes:

- “Credit is irrevocable” if the doc. Credit is silent on this issue,
- Reasonable time, not to exceed 7 banking days following the date of presentation of documents, in which to determine compliance or non-compliance,
- Indication of who can sign transport documents and redefining of the word “transshipment”



UCP 600 (2007)

ICC Paris appointed a Task Force, after approval of the Banking Commission in 2003, to undertake revision of the UCP 500. The Task Force after working for over three years prepared a draft of the new UCP. The Drafting group constituted members from 9 countries, which had 15 meetings before the draft was finalized.

A Consultative group, comprising of 41 members from 26 countries was formed to discuss the Draft. The Draft was also referred to National Committees, including ICC India, and key issues were identified, taking in to account various ICC opinions, DOCDEX (**Documentary Credit Dispute Resolution Expertise**) decisions, papers, court decisions, etc.

DOCDEX is one of the options available to the parties of the LC to resolve letter of credit disputes. Its full form is "ICC's Documentary Credit Dispute Resolution Expertise". After extensive working, discussions, deliberations on various articles, practices, and need to simplify the Articles, the ICC Banking commission approved the Draft of UCP 600, in its meeting on 25th October 2006, bringing the new UCP in to force **w.e.f. 1st July 2007**.



UCP 600 (2007)

UCP 600 represents the latest and current version of UCP to align with ISP 98 which covers:

- New articles covering “definitions” and “interpretations”.
- Removal of reference to “revocable credits”.
- New sub-article covering “documents lost in transit”.
- Setting of the maximum examination period as “5 banking days following the day of presentation”.
- The stipulation that documents are to appear to fulfil their function where the credit is silent with regard to the data content.
- Possibilities for handling discrepant documents.



The Articles of UCP 600 can be grouped as under:

- **Article 1-5:** Definitions, Interpretations, Independence of LCs and Underlying contracts.
- **Article 6-10:** Availability, Expiry date and place, Obligations of issuing and Confirming bank, Advising credits and Amendments.
- **Article 11-17:** Pre-advised credits, Nominated bank, Reimbursement arrangements, Complying presentations, Original documents, etc.
- **Article 18:** Commercial invoice.
- **Article 19-27:** Transport documents.
- **Article 28:** Insurance documents.
- **Article 29-33.** Extension, Tolerance, Partial and Instalment drawings and Hours of presentation.
- **Article 34-37:** Disclaimers.
- **Article 38-39:** Transferability and Assignment of proceeds.

Liabilities, Responsibilities and Rights of The Parties



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The Applicant

- **The applicant of the L/C must give complete and precise instructions for issuance of Letter of Credit and any amendment thereof.** The LC must not include excessive details or give any reference of credit previously issued, to avoid any confusion or **misunderstanding (Article 5).**
- The applicant should indemnify banks against any obligations imposed by **foreign laws (Article 18).**
- Issuing bank is the party acting on behalf of the applicant and should, therefore, ensure itself about the creditworthiness of the applicant.
- The issuing bank gives a definite undertaking to make payment in case of sight and accept and pay on maturity in case of acceptance or deferred payment, to authorize bank to negotiate and to reimburse the negotiating bank, provided that the stipulated documents are presented **under the Letter of Credit (Articles 2, 9).**

Advising Bank

- The advising bank has option to choose as to whether it wishes to advise a LC or not. If it agrees to advise the LC, then it must do so by taking reasonable care in checking the authenticity of the credit.
- In case, it decides not to advise a LC, then it must inform the issuing bank immediately. If the advising bank is unable to establish the authenticity of LC

**Documents Under LC- Scrutiny,
Crystallisation, Follow-up for Bills
Under LC and Safeguards For Banks**



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Bill of Exchange

Bills of exchange, being one of the most important financial documents, is drawn by the beneficiary on the LC issuing bank. It envisages the issuing bank to make the payment immediately, if it is drawn a sight or accept and pay on due date, **if it is drawn on acceptance basis. It should, in normal due course satisfy the following requirements:**

- It should be drawn by the beneficiary on the issuing bank and payable at tenor mentioned in the Letter of Credit
- It should indicate the issuing bank's name and Letter of Credit number along under which it is drawn.
- It should, unless and otherwise specified, be drawn in the currency of Letter of Credit and should not exceed the amount of Letter of Credit.
- Any corrections should be duly authenticated.

Invoice

An invoice is a commercial document and is a basic necessity of trade documents. It is prepared by the beneficiary giving details of goods, quantity and value in unit terms, weight and total value of goods. **Following specific points should be kept in mind, while preparing or examining the invoice;**

- It should be made out by the seller/beneficiary, as stipulated in the Letter of Credit.
- It should, unless and otherwise specified in the Letter of Credit, be made out in the name of the applicant/openers of the LC.
- Description of goods must correspond with the description of goods given in the LC.
- Invoice must indicate the order number/contract number/proforma invoice number and number of LC along with issuing bank's name.

The invoice value should not, invariably, exceed the LC value.

- If invoice is issued for an amount in excess of the amount permitted by credit (when not specifically prohibited by terms of LC), as per Article 18b of UCPDC, the drawing should not exceed the amount mentioned in the LC.

Bill of Lading

Bill of lading is a transport document evidencing movement of goods from the port of acceptance to port of destination. It is a receipt issued by the ship owner or its authorized agent, stating that the goods indicated therein (quantity, quality, description, etc.) are shipped on specific date and through specific vessel and deliverable to the person mentioned therein as the consignee or to his order, after payment of all dues to the shipping company.

- The bill of lading should be in complete set of negotiable copies, along with a number non-negotiable copies, as stipulated in the Letter of Credit.
- It should bear the signature of the ship owner or its authorised agent.
- The description of goods should correspond with the requirements in terms of Letter of Credit and as mentioned in the invoice.
- Bill of lading should bear the Letter of Credit number along with the name of the issuing bank.

- Payment of freight should be clearly indicated in the Bill of Lading, as per the requirement of the Letter of Credit.
- The Letter of Credit should call for "shipped on board" Bill of Lading, and accordingly, the BL should bear such clause.
- It should be drawn to the order of the shipper, blank endorsed or in favour of the issuing bank, as stipulated in the Letter of Credit.
- The date of shipment should be within the date stipulated in the Letter of Credit
- Partial shipments or trans-shipment, if permitted in the Letter of credit should be clearly indicated in the Bill of Lading.
- The gross weight, net weight should be as indicated in the invoice.
- The BL should not generally be dated prior to the date of issuance of LC, unless specifically provided therein.
- The BL should not be claused, unless specifically permitted under the LC.

Insurance Policy/Certificate

- It must be issued and signed by the insurance company or their agents. (Article 34a)
- It should not be issued by the broker. (Article 34b)
- The date of issuance of insurance must be on or before the date of shipment or it must be endorsed by specific notation that the cover is effective from the date of shipment. (Article 34c)
- The currency of issuance must be same as the currency of LC. [Article 34f(i)]
- The policy should clearly indicate the voyage it is covering, i.e., the port of shipment, port of destination and should also mention the point of termination of insurance coverage.
- Claims should be made payable in the country of applicant.
- All originals (if issued more than one) must accompany the documents.
- The description of goods in the insurance policy/ certificate should be in conformity with that given in the LC.

Certificate of Origin

- Certificate of origin determines the origin of goods. It must be issued and signed by an independent authority, such as Chamber of Commerce, informing origin of goods, value, invoice number, Bill of Lading number, etc.
- Details appearing in the certificate of origin must be consistent with other documents. It must be ensured that origin of goods is not from any war-fighting country, i.e., consisting of banned hazardous goods



Crystallisation of Foreign Currency Liability

The issuing bank on receipt of documents drawn under its Letter of Credit, has an obligation to pay **immediately**, if the documents are drawn at sight or accept and agree to pay on due date, if the documents are drawn on acceptance basis, provided the documents are drawn strictly as per the terms of the LC.



Standby Letter Of Credit

International trade has been dominated by LC transactions, whereby the seller is assured of payment by submitting documents in compliance and conformity with the terms and conditions of the letter of credit. Standby Letter of Credit has often been used in situations where there is non-performance' or to put it in a layman's word, almost a substitute of guarantee. The usage of standby LC is mostly witnessed in countries like the USA, where guarantees are not used, and standby LC acts as a substitute for guarantee.

This type of Letter of Credit is opened by banks in countries, where there is restriction on issuance of guarantees and therefore standby LCs provide a suitable substitute for performance or financial guarantees. The documents required are bare minimum, like proof of delivery of goods, proof of non-performance or simple claim form.



Usage of Standby LC by Authorized Dealers

Banks can establish stand-by LC for the following transactions: As a document of promise in respect of non-performance' situation especially as a substitution to the guarantees which Authorized Dealers are permitted to issue under FEMA, 1999, such as issuing a guarantee in respect of any debt, obligation or other liability incurred by:

- An exporter on account of exports into India.
- Owed to a person resident in India by a person resident outside India for a bona fide trade transaction, duly covered by a counter guarantee of a bank of international repute/resident abroad.
- Exporters may also opt to receive stand by LC in respect of exports from India.

Commercial Standby LC for Import of Goods

Banks have been permitted by Reserve Bank of India, to issue standby LCs towards import of goods into. Since standby LCs covering import of goods are susceptible to certain attendant risks in the absence of evidence of shipment/ insurance cover, importers should be advised and explained of the risk factors involved/chances of abuse in acceding to the request for establishment of standby LCs for import of goods into India.

The following safeguards may be taken where standby LCs are issued:

The facility of issuing commercial standby may be extended on a selective basis and to the following categories of importers only:

- Where such standbys are required by applicants, who are independent power producers/importers of crude oil and petroleum products.
- Special category of importers, viz. Export House/Trading/Star Trading House/Super Star Trading house/100% EOUs.
- Public sector Units/Public Limited Companies with good track record.

4.12 INTERNATIONAL COMMERCIAL TERMS – INCOTERMS 2020

Parties to contracts are, often, not aware of different trade practices in their respective countries which can cause misunderstanding resulting in unnecessary disputes. As such ICC published a set of international rules for the interpretation of trade terms known as “Incoterms” The ICC publication on Incoterms has been updated several times, with latest version being Incoterms-2020. The full form of Incoterms is “International Commercial Terms”.

Incoterms apply to contract of sale but not contract of carriage. They deal only with the relationship between seller and buyer. These can be broadly classified into four categories.

(a) Departure:

- (i) Ex-works (named place) e.g. Ex-works Jamnagar, or Ex-works Pune.

(b) Main Carriage Paid:

- (i) *CFR*: Cost and Freight (named port of destination) e.g. CFR JNPT, CFR Chennai
- (ii) *CIF*: Cost, Insurance and Freight (named port of destination) e.g. CIF JNPT, or CIF Chennai port.
- (iii) *CPT*: Carriage Paid To (named place of destination) eg., CPT Dubai
- (iv) *CIP*: Carriage and Insurance Paid to (named place of destination) CIP Dubai

(c) Main Carriage Unpaid:

- (i) *FCA*: Free Carrier (named place) eg., FCA Mumbai
- (ii) *FAS*: Free Alongside Ship (named port of shipment) eg., FAS, Mumbai port
- (iii) *FOB*: Free On Board (name port of shipment) eg., FOB, Mangalore

(d) Arrival:

- (i) *DAT* – Delivered At Terminal (named terminal at port or place of destination) eg., DAT Sharjah
- (ii) *DPU* – Delivered At Place Unloaded (named place of unloading) eg., DAP Sharjah
- (iii) *DDP*: Delivered Duty Paid (named place of destination) eg., DDP Sharjah

Eleven Incoterms are currently in use and these need to be known while transacting foreign trade or handling of trade documents.

The various responsibilities of suppliers and buyers are shown in the figure below.

The first (left-most) Incoterm imposes maximum responsibility on the buyer whereas the last (right-most) Incoterm places the maximum responsibility on the seller.

[illegible]



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UNIT 5

Facilities for Exporters and Importers

STRUCTURE

- 5.0 Objectives
- 5.1 Introduction
- 5.2 Exchange and Trade Control Guidelines for Exporters
- 5.3 Facilities for Exporters – Facilities/Remittances Connected with Exports
Check Your Progress (A)
- 5.4 Export Finance
- 5.5 Gold Card Scheme for Exporters
- 5.6 Export Data Processing and Monitoring System (EDPMS)
- 5.7 Factoring and Forfaiting
Check Your Progress (B)
- 5.8 Exchange and Trade Control Guidelines for Importers
- 5.9 Import Finance
- 5.10 Import Data Processing and Monitoring System (IDPMS)
- 5.11 Trade Credit – Supplier's Credit and Buyer's Credit
Check Your Progress (C)
- 5.12 Case Study on Export Finance

Let Us Sum Up





Regulation for Exporters and Importers

In India, export trade is regulated by the Directorate General of Foreign Trade (DGFT), which functions under the Ministry of commerce and Industries, of Government of India.



Regulation for Exporters and Importers

While the policies and procedures granted under FEMA regulations are governed by the RBI regulations/guidelines.

Similarly, import trade is also governed by DGFT, with regulations relating to imports and other payments, as provided under FEMA, are governed by RBI regulations.



Regulation for Exporters and Importers

The Reserve Bank of India, with powers delegated under FEMA 1999, regulates the Exchange Control and receipts/payments of foreign exchange part through various guidelines, FEMA amendments, while the office of the Director General of Foreign Trade (DGFT), regulates the Trade Control part, through the EXIM Policy and periodic announcements with a view to expand or control the international business of the country.



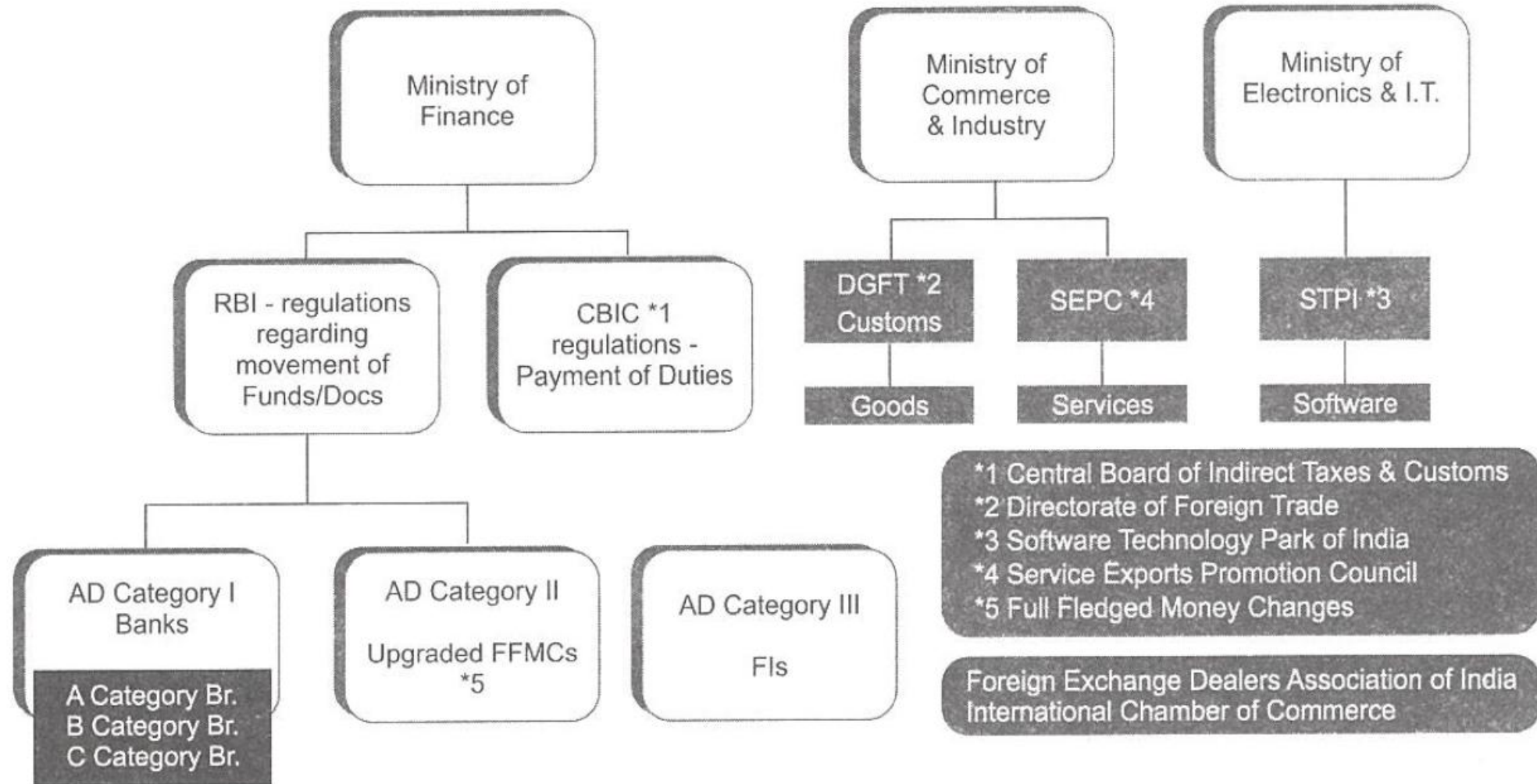
Regulation for Exporters and Importers

The International Chambers of Commerce as an apex organization for the international trade transactions across the globe facilitate guides the parties to the trade through their documents i.e. Uniform Custom & Practice- UCP 600, Uniform Rules for Collection – URC 522, Uniform Rules for Demand Guarantees – URDG 758, etc.



Regulation for Exporters and Importers

The Foreign Exchange Dealers Associations of India (FEDAI), a self-regulatory organization established in 1958 with the approvals of RBI to promote growth of India's external sector and contribute to the development of FOREX Market in India.



Importer- Exporter Code Number

 Government of India Ministry of Commerce and Industry Directorate General of Foreign Trade Office of the Additional Director General of Foreign Trade, Chennai 4th Floor, Shastri Bhawan Annexe,,26, Haddows Road,,CHENNAI	
Importer-Exporter Code	
This is to certify that [REDACTED] is issued an Importer-Exporter Code with details as follows -	
IEC	[REDACTED]
स्थाई खाता सं.(पैन) /PAN	[REDACTED]
फर्म का नाम/Firm Name	[REDACTED]
निगम की प्रकृति /Nature of Concern	Proprietorship
जारी करने की तारीख/Date of Issue	[REDACTED]
पता/Registered Address	[REDACTED]
धारक का नाम / Name of the Signatory	[REDACTED]
Director / Partner Details	Refer online at https://dgft.gov.in or scan the QR Code
शाखा/इकाई /Branch Details	Refer online at https://dgft.gov.in or scan the QR Code
Last Modified : [REDACTED]	
File Number : [REDACTED]	
	
Note : This is a system-generated certificate. Authenticity / Updated details of the IEC can be checked at official DGFT website https://dgft.gov.in by entering the IEC and Firm Name under Services > View Any IEC Details. You can also authenticate the certificate by scanning the QR code.	

Importer-Exporter Code Number

Every person/firm/company engaged in Export-Import trade has to apply for and obtain an importer exporter Code Number (IEC Number) from the Director General of Foreign Trade (DGFT).

This is a registration number of the firm/company for international trade and the exporter/importer has to invariably quote this code number in all declarations/forms, etc.,

Government of India
Ministry of Commerce and Industry
Directorate General of Foreign Trade
Office of the Additional Director General of Foreign Trade, Chennai
4th Floor, Shastri Bhawan Annexe, 26, Haddows Road, CHENNAI

Importer-Exporter Code

This is to certify that [redacted] is issued an Importer-Exporter Code [redacted] with details as follows -

IEC	[redacted]
स्थायी खाता सं./पैन /PAN	[redacted]
फर्म का नाम/Firm Name	[redacted]
निगम की प्रकृति /Nature of Concern	Proprietorship
जारी करने की तारीख/Date of Issue	[redacted]
पता/Registered Address	[redacted]
धारक का नाम / Name of the Signatory	[redacted]
Director / Partner Details	Refer online at https://dgft.gov.in or scan the QR Code
शाखा/इकाई /Branch Details	Refer online at https://dgft.gov.in or scan the QR Code

Last Modified : [redacted]
File Number : [redacted]

Note : This is a system-generated certificate. Authenticity / Updated details of the IEC can be checked at official DGFT website <https://dgft.gov.in> by entering the IEC and Firm Name under Services > View Any IEC Details. You can also authenticate the certificate by scanning the QR code.



Export Declaration Forms

EXPORT DECLARATION FORM				Annex I	
1.					
Customs Security No.:			Form No:		
Nature of Cargo: [] Government [] Non-Government		Shipping Bill No. & Date:		Mode of Transport: [] Air [] Land [] Sea [] Post/Couriers [] others	
Category of Exporter: [] Custom (DTA units) [] SEZ [] Status holder exporters [] 100% EOU [] Warehouse export [] others (Specify).....			RBI approval no. & date, if any:		
IE Code:			AD code:		
Exporters Name & Address:			AD Name & Address:		
Consignee's Name & Address:			Mode of Realisation : [] L/C [] BG [] Others (advance payment, etc. including transfer/remittance to bank account maintained overseas)		
			Port of Loading / Source Port in case of SEZ :		
Name of the Indian bank and AD code, in case of LC/BG			Country of Destination:		Port of Discharge:
			Whether payment to be Received through ACU? [] Yes [] No		Let Export order (LEO) Date:
General Commodity Description:			State of Origin of Goods:		
Total FOB value in words (INR):			Custom Assessable value (INR)*:		
2. Invoice –Wise details of Export Value (If more than one invoice for a particular shipping bill , the block 2 will repeat as many times of invoices)					
Invoice No.	Invoice Currency:		Nature of Contract: [] FOB [] CIF [] C&F		
Invoice date.	Invoice Amount:		[] CI [] Others		
Particulars	Currency	Amount in FC	Exchange Rate	Amount (INR)	
FOB Value					
Freight					
Insurance					
Commission					
Discount					
Other Deduction					
Packing Charges					
Net Realisable value					

Export Declaration Forms

EXPORT DECLARATION FORM		Annex I	
1.		General Information:	
Customs Security No.:		Form No.:	
Nature of Cargo: [] Government [] Non-Government	Shipping Bill No. & Date:	Mode of Transport: [] Air [] Land [] Sea [] Post/Couriers [] others	
Category of Exporter: [] Custom (DTA units) [] SEZ [] Status holder exporters [] 100% EOU [] Warehouse export [] others (Specify).....	RBI approval no. & date, if any:		
IE Code:	AD code:		
Exporters Name & Address:	AD Name & Address:		
Consignee's Name & Address:	Mode of Realisation : [] L/C [] BG [] Others (advance payment, etc. including transfer/remittance to bank account maintained overseas)		
	Port of Loading / Source Port in case of SEZ :		
Name of the Indian bank and AD code, in case of LC/BG	Country of Destination:	Port of Discharge:	
	Whether payment to be Received through ACU? [] Yes [] No	Let Export order (LEO) Date:	
General Commodity Description:	State of Origin of Goods:		
Total FOB value in words (INR):	Custom Assessable value (INR)*:		
2. Invoice -Wise details of Export Value (If more than one invoice for a particular shipping bill , the block 2 will repeat as many times of invoices)			
Invoice No.	Invoice Currency:	Nature of Contract:	
Invoice date.	Invoice Amount:	[] FOB [] CIF [] C&F [] CI [] Others	
Particulars	Currency	Amount in FC	Exchange Rate
FOB Value			
Freight			
Insurance			
Commission			
Discount			
Other Deduction			
Packing Charges			
Net Realisable value			

Section 7(1), (3) of FEMA, all export of goods from India, **whether in physical form or any other form**, requires to be **declared in the prescribed forms to the effect that full value of exports** will be realized within the prescribed period and in the prescribed manner.



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EDF Form	Exports other than software made by all modes.
SOFTEX Form	Export of software in non-physical form.



With the introduction of **Electronic Data Interchange (EDI)** system at certain Customs offices, where shipping bills are processed electronically, the GR form has since been replaced by a declaration in form EDF (Electronic Declaration Form).

The EDF form should be submitted in duplicate (to be annexed to the relative shipping bill) to the concerned Commissioner of Customs.



After verifying and authenticating the declaration in form EDF, the commissioner of customs will handover to the exporter one copy of the shipping bill marked '**Exchange Control Copy**' in which form EDF has been approved for being submitted to the authorized dealer.



Exemptions

Following exports/shipments out of India are exempted from Export Declaration Forms, in terms of the cases indicated in Regulation 4 of Foreign Exchange Management (Export of Goods and Services) Regulations dated January 12, 2016:

- (a) Trade samples of goods and publicity material supplied free of payment;
- (b) Personal effects of travellers, whether accompanied or unaccompanied;
- (c) Ship's stores, trans-shipment cargo and goods supplied under the orders of Central Government of such officers as may be appointed by the Central Government in this behalf or of the military, naval or air force authorities in India**
- (d) By way of gift of goods accompanied by a declaration by the exporter that they are not more than five lakh rupees in value;**
- (e) Aircrafts or aircraft engines and spare parts for overhauling and/or repairs abroad subject to their reimport into India**

Exemptions

- (f) replacement goods exported free of charge in accordance with the provisions of Foreign Trade Policy in force, for the time being;**
- (g) goods sent outside India for testing subject to re-import into India;**
- (h) exports permitted by the Reserve Bank, on application made to it, subject to the terms and conditions, if any, as stipulated in the permission.**



Facilities for Exporters

Export Finance

The Reserve Bank of India (RBI) has framed specific guidelines for finance to exporters, so as to allow finance at concessional interest rates, to make exporters compete with their competitors from other countries, and also to boost the exports from the country.

The RBI first introduced the scheme of Export Financing in 1967. The scheme is intended to make short-term working capital finance available to exporters at internationally comparable interest rates. Export credit is available both in rupee as well as in foreign currency.

The Reserve Bank of India has also **permitted banks to allow both Packing credits as well as post-shipment advances to exporters** in Indian rupees as well as in foreign currencies.

Export Finance

- **Pre-shipment advances to exporters**
- **Post-shipment advances to exporters**



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Pre-shipment finance

Packing Credit Loan (PCL) or Export Packing Credit (EPC), is essentially a **working capital advance allowed** for the specific purpose of procuring/ processing/manufacturing of goods meant for export. It could cover all costs prior to shipment of **finished goods, i.e. packing, local transportation, labour charge, etc.**

- **The borrower is bank's customer.**
- **They should have Export/Import Code number (IEC) allotted by Director General of Foreign Trade.**
- **Their name should not appear under the caution list of RBI.**
- **They should not be under the Specific Approval list of ECGC.**
- **They have the capacity to execute the order within stipulated time and has a genuine and valid export order or Letter of Credit for export of goods.**
- **All 'Know Your Customer' guidelines are complied with.**

Post-Sanction

- No PCL has been availed by him against the same order/LC from any other bank.
- Bank should call for Credit Report/Status Reports on the foreign buyers.
- The exporter should submit stock statements for the goods on which PCL has been allowed.
- If the exports are covered under letters of credits, banks would need to be satisfied about the standing of the credit opening bank.
- Banks may also look into the regulations, the political and financial conditions of the buyer's country.

Post-shipment finance can be of various types, as under:

Post-shipment finance is essentially an advance against receivables, which are in the form of export.

Post Shipment Finance involves handling of export documents, sending the documents to the foreign bank and collecting the funds thereof.

- **Advance against bills sent on collection.**
- **Advances against exports on consignment basis.**
- **Advances against undrawn balances.**
- **Advances against Duty Drawback.**

Export Data Processing and Monitoring System (EDPMS)



Export Data Processing and Monitoring System
(EDPMS)

RBI commenced a software Export Data Processing and Monitoring System in 2014. This is an online program for all Indian banks to record exporters' transactions with them online. Thus, RBI can increase the transparency of records of dollar payment flow between India and abroad.

AD banks can access the **updated list of caution listed exporters** through EDPMS on daily basis.

RBI will caution/de-caution the exporters based on the recommendation of AD banks.

ADs may forward its findings to the concerned regional office of RBI recommending inclusion of the name of the exporter in the caution list.

The guidelines require **banks to record advance remittances received for exports** in EDPMS.

Besides, banks will also be required to record old outstanding advances received.

A close-up photograph of a hand holding a gold-colored card. The hand is positioned in the center, with the thumb and index finger gripping the card. The card is gold-colored with some embossed details, including what appears to be a logo or emblem on the left side. The background is dark with several out-of-focus, glowing orange and yellow circular lights, creating a bokeh effect. The lighting is soft, highlighting the texture of the skin and the metallic sheen of the card.

Gold card scheme for exporters

Based on the indications made by the government (Ministry of Commerce and Industry), in the Foreign Trade Policy 2003-04 to launch a Gold card scheme for creditworthy exporters with good track record for easy availability of export credit on best terms, the RBI has drawn up a Gold Card Scheme.

The salient features of the scheme are:

- All creditworthy exporters, including those in small and medium sectors, with good track record would be eligible for issue of Gold Card by individual banks as per the criteria to be laid down by the latter.
- Gold Card under the Scheme may be issued to all eligible exporters including those in the small and medium sectors who satisfy the laid down conditions,
- The scheme will not be applicable for exporters blacklisted by ECGC or having overdue bills in excess of 10% of the previous year's turnover.
- Gold Card holder exporters, depending on their track record and credit worthiness, will be granted better terms of credit including rates of interest than those extended to other exporters by the banks.
- Banks would clearly specify the benefits they would be offering to Gold Card holders.

The salient features of the scheme are:

- The sanction and renewal of the limits under the Scheme will be based on a simplified procedure to be decided by the banks. Taking into account the anticipated export turnover and track record of the exporter the banks may determine need-based finance with a liberal approach.
- 'In-principle' limits will be sanctioned for a period of 3 years with a provision for automatic renewal subject to fulfilment of the terms and conditions of sanction.
- A stand-by limit of not less than 20% of the assessed limit may be additionally made available to facilitate urgent credit needs for executing sudden orders.
- Gold Card holders would be given preference in the matter of granting of packing credit in foreign currency.
- Banks would consider waiver of collaterals and exemption from ECGC insurance on the basis of card holder's creditworthiness and track record.
- The facility of further value addition to their cards through supplementary services like ATM, Internet banking, International debit/credit cards may be decided by the issuing banks.

Factoring and Forfaiting

Besides the regular financing avenues from banks, the exporters also have access to other avenues of financing which also act as risk management products. Factoring and forfaiting are the two products, which allows the exporters to sell their book debts and raise finance upfront.

Factoring

Factoring is defined as a continuing agreement between a financial institution (known as “Factor”) and the business concern (the exporter/seller) selling goods or services to track customers on Open Account Basis, whereby the factor purchases the clients' book debts, either with or without recourse to the client and in relation thereto controls the credit extended to the customers and administers the sales ledger.

- Immediate financing up to 75-80% of the invoice value.
- No need for LC, thus saving costs for the importer.
- Credit check on importers/buyers.
- Sales ledger maintenance.
- Credit protection on all approved debtor limits.
- Advisory services for new areas, countries.



A factor provides different services, which can be described as under:

- **Debt Administration:** Managing the sales ledger of the client, saving his administrative cost of book keeping, invoicing, credit control and debt collection. This would also include work of following up for the debt collection.
- **Credit Protection:** As professionals, factors, will have the facility for credit intelligence to enable them to assess credit risk and advise their clients accordingly. The database on the individual buyers built up over a period of time, by the factor could be used by the client for a fee.
- **Factor Financing:** While in India financing is an essential activity for a factor, in certain countries it may not be an essential service. Generally, a factor will be willing to advance up to 75-80% of the outstanding debts.

Forfaiting

Another product for financing of export receivables is Forfaiting. It can be defined as a mechanism for financing by discounting of export receivables, without recourse to the exporter/seller, for a medium term, on a fixed rate basis, for the full value of the contract/invoice.

- Takes away political and commercial risks associated with export receivables.
- Makes available 100% finance against the invoice drawn.
- Without recourse facility.
- Freedom from credit administration, and follow-up.
- Cost saving on export credit insurance, besides related paperwork.
- Fixed rate financing, freedom from movement of interest rates for the tenor of the bill.

Factoring vs Forfaiting

- 1) Factoring is a short-term transaction, whereas Forfaiting is a medium- to long-term transaction.
- 2) Factoring can be done with or without recourse, although forfaiting is usually done without recourse.
- 3) Factoring is applicable to both foreign and domestic transactions, but forfaiting is applicable to only international transactions.
- 4) Factoring is appropriate for ongoing open account sales that are not backed by LCs or accepted by bills of exchange, whereas forfaiting is appropriate for one-time transactions that are backed by LCs or approved by bills of exchange.
- 5) Factoring necessitates a continuing arrangement between the factor and the customer, in which all sales are routed via the factor, but forfaiting does not necessitate the seller routing other business through the forfaiter. Deals are closed transaction by transaction.



Regulation for Importers



विदेश व्यापार महानिदेशालय
DIRECTORATE GENERAL OF
FOREIGN TRADE



Guidelines For Importers

The physical movement of goods into India is regulated by Foreign Trade Policy formulated by **the Director General of Foreign Trade (DGFT)**, the regulations relating to payment of such imports are governed by Exchange Control Regulations framed the basis of **Foreign Exchange Management Act, 1999 (FEMA 1999)**.



सत्यमेव जयते

Government of India

Ministry of Commerce and Industry

Directorate General of Foreign Trade

Office of the Additional Director General of Foreign Trade, Chennai

4th Floor, Shastri Bhawan Annexe,,26, Haddows Road,,CHENNAI

Importer-Exporter Code

This is to certify that [REDACTED] is issued an Importer-Exporter Code

with details as follows -

IEC	[REDACTED]
स्थायी खाता सं.(पैन) /PAN	[REDACTED]
फर्म का नाम/Firm Name	[REDACTED]
निगम की प्रकृति /Nature of Concern	Proprietorship
जारी करने की तारीख/Date of Issue	[REDACTED]
पता/Registered Address	[REDACTED]
धारक का नाम / Name of the Signatory	[REDACTED]
Director / Partner Details	Refer online at https://dgft.gov.in or scan the QR Code
शाखा/इकाई /Branch Details	Refer online at https://dgft.gov.in or scan the QR Code

Last Modified : [REDACTED]

File Number : [REDACTED]



Note : This is a system-generated certificate. Authenticity / Updated details of the IEC can be checked on official DGFT website <https://dgft.gov.in> by entering the IEC and Firm Name under Services > View IEC Details. You can also authenticate the certificate by scanning the QR code.

Approved commodity

Freely Permissible or Import licenses: While ADs are required to ensure that the goods imported or intended to be imported are as per the current Foreign Trade policy, the goods can be freely imported, or can be imported under specific license issued for the purpose by the DGFT.

This has to be ensured prior to making import remittance, handling of import bills for collection or opening of letters of credit for import of goods. For this purpose, the ADs should verify the Foreign Trade Policy or the public notices issued by the DGFT.

Import Finance



<https://www.jaiibcaiibprep.com/>



Import Letter of Credit

The importer gets LC limits sanctioned from his bank and establishes **LC on DA basis (usance)**, there by getting credit from the overseas supplier on the strength of his banks credibility (LC).

Such loans are at times granted against imported raw material, or goods meant for **trading**. The loans can be **against pledge of goods or hypothecation** to the financing bank.

Trade Credit – Supplier's Credit And Buyer's Credit



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Supplier's Credit

Supplier's Credit is credit directly extended by the overseas supplier of goods to the importer. As in domestic markets, in the international markets also, the payment terms are either sight or on credit. The period of credit, normally depends on the necessity for the exporter/seller of the goods to increase sales, the demand of the goods in the market, requirement of the importer and the current market practices.

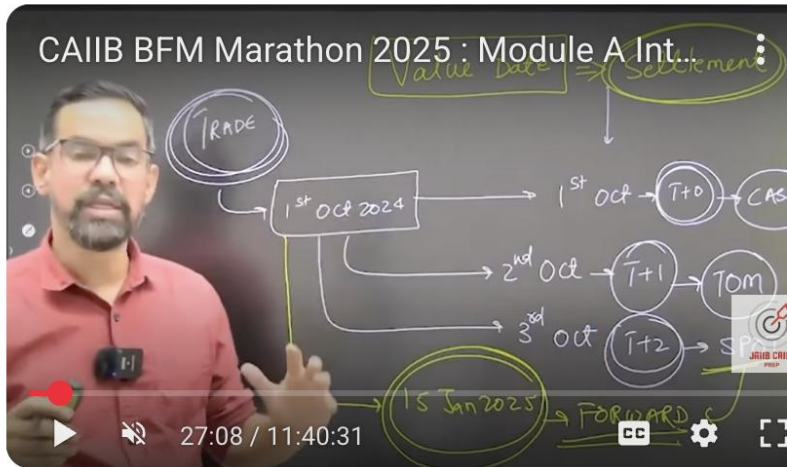
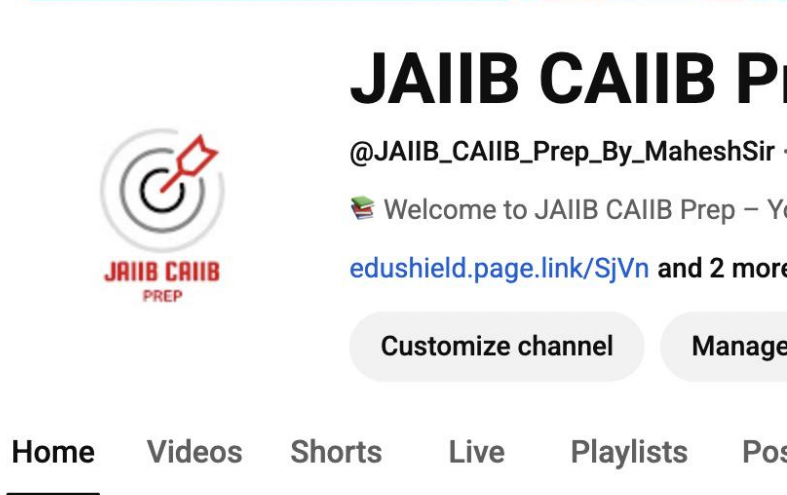
The period of supplier's credit, reckoned from the date of shipment, is to 3 years for import of capital goods.

For non-capital goods, this period is up to 1 year or the operating cycle, whichever is less. The maximum amount of supplier's credit, per import transaction, that banks can approve is USD 50 mn.

Buyer's Credit

The buyer's credit is credit arranged by the importer (buyer), from a bank/financial institution outside his country, to settle the payment of imports. In short, it is credit arranged by the buyer to settle import payments, irrespective of the period of credit.

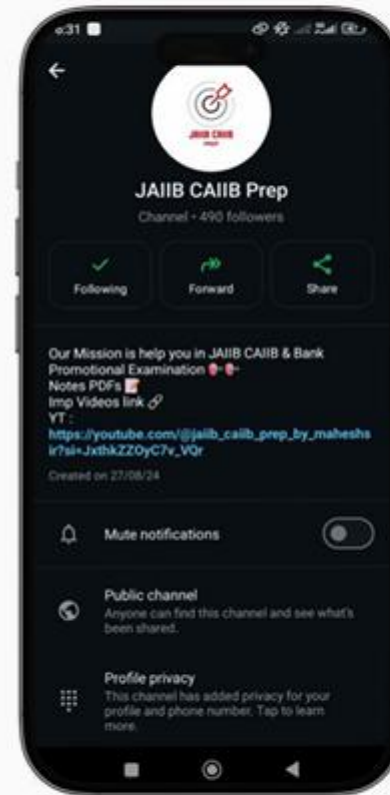
As such, the importer approaches his bank and requests for arrangement of payment to the exporter on immediate terms. The bank, through their own resources, or correspondent relationships, ties up with a foreign bank/financial institution, and after agreeing upon on the pricing/costing, makes arrangement to make payment to the exporter on submission of shipping documents. The importer then repays on the due date.



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